

1-1b Business Activities

Businesses engage in the following three types of activities:

- Operating activities
- Investing activities
- Financing activities

Operating activities (Activities by which a company generates revenues from customers.)

are those activities by which the company generates revenues from customers. Operating activities include producing, marketing, and distributing a product or service to customers. For example, operating activities of **Dell Technologies Inc. (DVMT)** include product development, acquiring component parts, assembly, marketing, and distribution of its products.

Investing activities (Activities by which a company acquires long-term assets for use in the operating activities of the company.)

are those activities by which a company acquires long-term assets for use in the operating activities of the company. For example, the acquisition by **Delta Air Lines, Inc. (DAL)** of Boeing 787 and Airbus 321 airplanes is an investing activity. Likewise, the purchase of land and the construction of buildings to use for training, maintenance, flight monitoring, and corporate offices are investing activities.

Financing activities (Activities by which a company obtains funds to start and operate the company.)

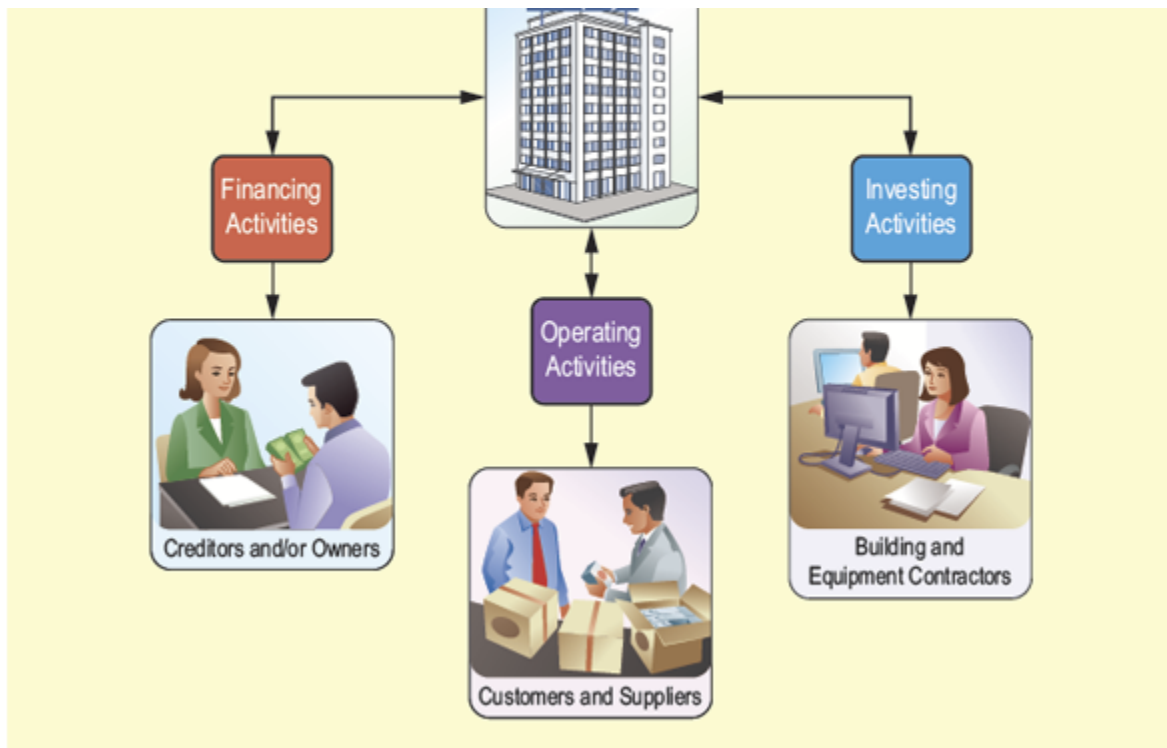
include activities by which the company obtains funds to start and operate the company. Funds are normally obtained from creditors and owners. For example, companies can obtain funds by issuing stock to the public. The payments to creditors and owners are also classified as financing activities.

The preceding business activities are summarized in [Exhibit 1](#).

Exhibit 1

Business Activities





Chapter 1: Introduction to Accounting and Business: 1-1b Business Activities

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